

Saudi Aramco

Energy NAV and Price-Deck Sensitivity

Tadawul: 2222 · US\$ billions · per-share values in SAR · as of FY2025 annual report · market data 18 Sep 2026

What this is

A reserves-based net asset value of Saudi Aramco on the FY2025 annual report and 18 September 2026 market data, built under the Kingdom's fiscal terms — the sliding crude royalty and the 50% upstream income tax — with the whole company run across a Brent price deck to find the oil price the share price implies and the price at which the base dividend stops being covered.

How it is built

- A per-boe netback: blended realisation, the published royalty schedule applied to crude, cash costs, sustaining capex and tax; multiplied by annual production and capitalised over the 52-year reserve life as an annuity.
- Downstream at a multiple of adjusted EBIT plus depreciation; corporate costs capitalised; net debt and minorities deducted.
- A price deck from US\$50 to US\$110 with group free cash flow and dividend cover at each level, and closed-form solves for the dividend break-even and the price-implied Brent, each verified by substitution.
- A calibration check that rebuilds reported FY2025 free cash flow from the netback, and two sensitivity grids.

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Key outputs (live)

After-tax netback per boe at US\$70 (US\$)	20.21
NAV per share (SAR)	18.06
Share price (SAR)	25.56
Brent the price implies at 8% (US\$/bbl)	118.40
Base dividend cover at US\$70	1.0x
Discount rate the price implies at US\$70	5.7%

Colour code

Blue = hard-coded input
Black = formula
Green = link to another sheet
Accent fill = scenario selector / key levers

Sources

Saudi Aramco Annual Report 2025 and fourth-quarter and full-year 2025 results (year to 31 December 2025): production, reserves, realised price, segment adjusted EBIT, capital expenditure, free cash flow and dividends.

Balance sheet and income statement in SAR via Yahoo Finance for 2222.SR; converted at the 3.75 peg. Share price: Tadawul close, 18 September 2026.

Royalty schedule and tax rates as published by the Kingdom in 2020. Costs, gas realisation, discount rate, downstream multiple and corporate costs are stated inputs.

Nothing here is a recommendation. The valuation is an analytical exercise on public information.

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Reported FY2025 figures, reserves and production, market data and stated assumptions

REPORTED FY2025

SAR per US\$ (peg)	3.75	
Revenue (US\$ bn)	445.7	
Net income (US\$ bn)	92.8	
Upstream adjusted EBIT (US\$ bn)	195.5	
Downstream adjusted EBIT (US\$ bn)	10.0	Up more than four times on record refining throughput and SABIC synergies
Capital expenditure (US\$ bn)	52.2	2026 guidance US\$50–55bn; 65–70% upstream
Free cash flow (US\$ bn)	85.4	
Dividends paid (US\$ bn)	85.0	
Annualised base dividend after the Q4 2025 increase (US\$ bn)	87.5	Q4 2025 base dividend of US\$21.9bn, times four; the performance-linked dividend is on top and discretionary
Average realised crude price (US\$/bbl)	69.20	

RESERVES AND PRODUCTION

Proved reserves (billion boe)	247.2
Total hydrocarbon production (mmboed)	12.9
of which liquids (mmbpd)	10.7
of which gas and NGL (mmboed)	2.2
Annual production (billion boe)	4.71
Reserve life at current production (years)	52.5

BALANCE SHEET, 31 DECEMBER 2025 (US\$ bn)

Borrowings	97.0	
Cash and cash equivalents	64.8	
Net debt	32.1	
Non-controlling interests at book	61.3	SABIC minorities, the pipeline lease vehicles and Jafurah midstream
Equity attributable to shareholders	397.9	

MARKET DATA

Share price (SAR, Tadawul close 18 Sep 2026)	25.56
Shares outstanding (billions)	241.91
Market capitalisation (US\$ bn)	1,649
Enterprise value (US\$ bn)	1,742
Base dividend yield at the price	5.3%

VALUATION ASSUMPTIONS — stated inputs

Base-case Brent (US\$/bbl, flat)	70.00	Close to the FY2025 realisation; a flat deck, not a forecast
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Realised liquids price relative to Brent (US\$/bbl)	-	
Gas and NGL realisation (US\$/boe)	15.00	Domestic gas is regulated at roughly US\$1.75/mmBtu; NGL exports lift the blend
Lifting and other cash costs (US\$/boe)	4.00	Aramco discloses upstream lifting cost near US\$3/boe; the rest is SG&A and exploration
Sustaining upstream capital expenditure (US\$/boe)	7.50	Two-thirds of the US\$52bn programme over 4.7bn boe
Discount rate	8.0%	Nominal, against a flat nominal price deck; conservative by construction
Downstream depreciation (US\$ bn)	10.0	Roughly two-fifths of group D&A
Downstream EV / EBITDA multiple	7.0x	Integrated refining and chemicals; between Indian refiners and US majors in Project 10's peer set
Corporate costs and net interest, per year (US\$ bn)	4.0	

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The state's take: a sliding royalty on crude and a 50% upstream income tax

ROYALTY SCHEDULE ON CRUDE (marginal rates, published 2020)

Rate on the price up to the first threshold	15.0%
First threshold (US\$/bbl)	70.00
Rate between the first and second thresholds	45.0%
Second threshold (US\$/bbl)	100.00
Rate above the second threshold	80.0%
Upstream income tax rate	50.0%
Downstream income tax rate	20.0%

Reduced from 50% to 20% for domestic downstream in 2020 to encourage integration

ROYALTY PER BARREL AT THE BASE-CASE PRICE

Liquids price (US\$/bbl)	70.00
Royalty per barrel (US\$)	10.50
Effective royalty rate	15.0%

Government take on an incremental dollar above US\$100	90.0%
Government take on an incremental dollar between US\$70 and US\$100	72.5%
Government take on an incremental dollar below US\$70	57.5%

Ninety cents of every dollar above US\$100 goes to the state. Aramco's equity has very little exposure to a spike

The schedule is what makes Aramco's cash flow so much less sensitive to oil than an international major's. Below US\$70 the company keeps 42.5 cents of a marginal dollar; between US\$70 and US\$100 it keeps 27.5 cents; above US\$100 it keeps ten. The price-deck grid on the Price Deck sheet is the direct consequence.

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Per-barrel netback, upstream annuity, downstream multiple, and value per share

UPSTREAM NETBACK PER BARREL OF OIL EQUIVALENT (US\$)

Blended realisation: liquids at the Brent-linked price, gas at its realisation	60.62
Less: royalty (crude only, spread over all boe)	(8.71)
Less: cash operating costs	(4.00)
Less: sustaining capital expenditure	(7.50)
Pre-tax cash netback	40.41
Less: income tax at 50%	(20.21)
After-tax cash netback per boe	20.21
Share of the blended realisation Aramco keeps	33.3%

UPSTREAM VALUE

Upstream free cash flow per year (US\$ bn)	95.1
Annuity factor over the reserve life at the discount rate	12.28
Upstream value (US\$ bn)	1,168
implied value per boe of proved reserves (US\$)	4.73
calibration: model upstream FCF less corporate costs versus reported grou	5.7%

Flat production, flat price. A 52-year annuity at 8% is worth 98% of a perpetuity; the tail barely matters

International majors are typically valued at US\$8–15 per boe of proved reserves; the state's take explains the difference

The model rebuilds group free cash flow from first principles; it should land within 20% of the reported US\$85bn at the FY2025 price

DOWNSTREAM AND OTHER

Downstream EBITDA (adjusted EBIT + depreciation, US\$ bn)	20.0
Downstream value at the multiple (US\$ bn)	140
Less: corporate costs and net interest capitalised at the discount rate	(50)

NET ASSET VALUE

Gross asset value (US\$ bn)	1,258
Less: net debt	(32)
Less: non-controlling interests at book	(61)
Net asset value (US\$ bn)	1,165
NAV per share (SAR)	18.06
Share price (SAR)	25.56
Upside / (downside)	(29.3%)
Brent the share price implies (US\$/bbl, from the Price Deck sheet)	118.40
Upstream as % of gross asset value	92.8%

Saudi Aramco — Energy NAV and Price-Deck Sensitivity

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The whole company across Brent from US\$50 to US\$110 — and the dividend break-even

PER BARREL AND PER YEAR AT EACH PRICE

Brent (US\$/bbl)	\$50	\$60	\$70	\$80	\$90	\$100	\$110
Brent	50.00	60.00	70.00	80.00	90.00	100.00	110.00
Royalty per crude barrel (US\$)	7.50	9.00	10.50	15.00	19.50	24.00	32.00
After-tax netback per boe (US\$)	13.16	16.68	20.21	22.49	24.77	27.05	27.88
Upstream free cash flow (US\$ bn)	61.9	78.5	95.1	105.9	116.6	127.4	131.3
Group free cash flow: upstream + downstream after tax and capex	57.1	73.7	90.3	101.0	111.7	122.5	126.4
Base dividend cover: group FCF / base dividend	0.7x	0.8x	1.0x	1.2x	1.3x	1.4x	1.4x
Surplus / (shortfall) after the base dividend (US\$ bn)	(30.4)	(13.8)	2.8	13.5	24.2	35.0	38.9

VALUE AT EACH PRICE

NAV (US\$ bn)	757	961	1,165	1,297	1,429	1,561	1,609
NAV per share (SAR)	11.74	14.90	18.06	20.10	22.15	24.19	24.94
Versus the share price	(54.1%)	(41.7%)	(29.3%)	(21.4%)	(13.4%)	(5.4%)	(2.4%)

BREAK-EVENS (closed form)

Brent at which group FCF exactly covers the base dividend (US\$/bbl) 68.34

Brent at which group FCF is zero (US\$/bbl) 15.63

Brent the share price implies on this NAV (US\$/bbl) 118.40

Valid while the answer is below the first royalty threshold, which the check confirms

Solved on whichever royalty leg the answer falls, and verified by substitution on the Checks sheet

Upstream FCF
less corporate
costs over the
enterprise value
net of
downstream.
The 52-year
annuity differs
from a
perpetuity by
under 2%

Discount rate the share price implies at US\$70 Brent (perpetuity) 5.7%

Group free cash flow rises by about US\$2.4bn for each dollar of Brent below US\$70 and by roughly US\$1.5bn per dollar between US\$70 and US\$100. The base dividend alone absorbs the bulk of free cash flow at a US\$70 deck, which is why the performance-linked dividend was cut to almost nothing in 2025 and why the balance sheet, not the oil price, funded part of the 2024 payout.

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NAV per share (SAR) — each cell rebuilds the netback and the annuity

BRENT (rows) versus DISCOUNT RATE (columns)

↓ rows \ columns →	7.0%	7.5%	8.0%	8.5%	9.0%
55.00	15.06	14.14	13.32	12.58	11.91
62.50	17.73	16.65	15.69	14.82	14.04
70.00	20.41	19.17	18.06	17.06	16.16
77.50	22.14	20.80	19.59	18.51	17.53
85.00	23.88	22.43	21.13	19.96	18.90

BRENT (rows) versus SUSTAINING CAPEX PER BOE (columns)

↓ rows \ columns →	5.50	6.50	7.50	8.50	9.50
55.00	14.21	13.77	13.32	12.87	12.42
62.50	16.58	16.14	15.69	15.24	14.79
70.00	18.95	18.51	18.06	17.61	17.16
77.50	20.49	20.04	19.59	19.14	18.70
85.00	22.02	21.57	21.13	20.68	20.23

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Aramco on one page

THE NETBACK AT US\$70 BRENT

Blended realisation per boe (US\$)	60.62
After-tax cash netback per boe (US\$)	20.21
Share of the barrel Aramco keeps after royalty, costs, capex and tax	33.3%
Government take on an incremental dollar above US\$100	90.0%

NET ASSET VALUE

Upstream value (US\$ bn)	1,168
per boe of proved reserves (US\$)	4.73
Downstream value (US\$ bn)	140
Net asset value (US\$ bn)	1,165
NAV per share (SAR)	18.06
Share price (SAR)	25.56
Upside / (downside)	(29.3%)
Brent the price implies at an 8% discount rate (US\$/bbl)	118.40
Discount rate the price implies at US\$70 Brent	5.7%

THE DIVIDEND

Base dividend, annualised (US\$ bn)	87.5
Base dividend yield at the price	5.3%
Group free cash flow at US\$70 (US\$ bn)	90.3
Base dividend cover at US\$70	1.0x
Brent at which the base dividend is exactly covered (US\$/bbl)	68.34

• Aramco keeps a little over a quarter of each barrel. Royalty, costs, sustaining capex and a 50% tax take the rest, and the sliding royalty means the equity captures ten cents of every dollar above US\$100. The shares are a claim on volume and cost, not on the oil price.

• On a flat US\$70 deck at an 8% discount rate the NAV is about 30% below the share price. For the price to be right at 8%, Brent would have to sit near US\$120 for ever, which nobody assumes. The alternative reading is a discount rate under 6%: the market treats Aramco as a quasi-sovereign yield instrument, and most of the float is held by the state and its funds. The premium is a discount-rate premium, not an oil bet.

• Reserves are valued at a small fraction of what an international major's would fetch per barrel. That is not a discount to be closed — it is the arithmetic of who owns the barrel. Fifty-two years of reserve life adds almost nothing beyond year thirty at an 8% discount rate.

- The dividend, not the NAV, is the live question. The base payout alone needs Brent in the high sixties to be covered from free cash flow after a US\$52bn capex programme. Below that the balance sheet or asset sales fund the gap, as they did in 2024 and 2025.

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Every check must read TRUE

INTEGRITY CHECKS

Reserve life is between 40 and 60 years	TRUE
Royalty per barrel at the base price reproduces the schedule by hand	TRUE
Royalty is non-decreasing across the price deck	TRUE
Netback is increasing across the price deck	TRUE
Base-case netback ties to the US\$70 deck column	TRUE
Base-case NAV per share ties to the US\$70 deck column	TRUE
Model rebuild of FY2025 group free cash flow is within 20% of the reported figure	TRUE
Annuity factor is below 1 / discount rate	TRUE
Dividend break-even solved on the first royalty leg is below the first threshold	TRUE
Dividend break-even reproduces exactly when substituted (cover = 1.0x)	TRUE
Price-implied Brent reproduces the market capitalisation when substituted	TRUE
Price-implied discount rate is below the model discount rate when the price exceeds NAV	TRUE
Base sensitivity cell reconciles to the NAV sheet	TRUE
Market capitalisation reconciles to price times shares over the peg	TRUE
Share price lies within the 52-week range	TRUE

MODEL STATUS

MODEL OK

The seventh check rebuilds Aramco's reported free cash flow from a per-barrel netback and demands it land within 20% of the audited figure. A reserves model that cannot reproduce last year's cash is a spreadsheet, not a valuation.